Weekly Markets Update

Week Ending 11 October 2026

Executive Summary

- **UK borrowing costs continued to squeeze households:** The average five-year fixed mortgage rate reached 6%, its highest level since September 2023, as elevated global bond yields fed through to swap rates and mortgage pricing. UK 10-year gilts ended the week at 5.39%, 2bps higher.
- **European trade and political risks remained in focus:** The UK is considering tariffs on Chinese electric vehicles as it seeks closer alignment with the EU, while China's growing export dominance in Europe is increasing pressure on policymakers to protect domestic manufacturing. The euro also fell to a 17-month low against the dollar amid French fiscal concerns and political uncertainty in Spain.
- **African capital markets remained active:** Dangote Refinery reportedly attracted more than $7m of subscriptions within the first hour of its IPO, while Airtel Money debuted in London at a reported $7bn valuation. Tanzania was also ranked the 10th most investable African market in Bloomberg's 2026 assessment.
- **UK M&A returned to the consumer sector:** Sainsbury's held discussions with Morrisons regarding a potential merger, which would represent a significant consolidation of the UK grocery market if progressed.

Market Metrics Dashboard

Asset Class	Benchmark	Beginning of the week	End of the week	Weekly Change
Equities	S&P 500	7,773	7,816	+0.55%
	FTSE 100	10,497	10,552	+0.52%
Fixed Income	US 10-Year	5.31%	5.24%	-7bps
	UK 10-Year	5.37%	5.39%	+2bps
Commodities	Oil ($/bbl)	100	103	+3.00%
	Gold ($/oz)	4,168	4,224	+1.34%

Key Developments

UK Macro, Rates & Consumer

- **6 Oct – Mortgage rates:** The average five-year fixed UK mortgage rate reached 6%, its highest level since September 2023. Turmoil in global bond markets has pushed swap rates higher, feeding directly into fixed-rate mortgage pricing.
- **5 Oct – Chinese vehicle tariffs:** The UK is considering imposing tariffs on Chinese vehicle imports to align more closely with EU trade policy. The EU has imposed tariffs of up to 45% on Chinese cars since October 2024 and reportedly views UK alignment as part of the case for deeper partnership.
- **6 Oct – Sainsbury's / Morrisons:** Sainsbury's held talks with Morrisons regarding a potential merger. A transaction would represent significant consolidation within the UK supermarket sector and would likely face substantial regulatory scrutiny.

Europe& China Trade

- **6 Oct – European political risk:** The euro fell to its lowest level against the dollar in 17 months as investors reacted to concerns around France's rising debt burden and additional political uncertainty following the announcement of a snap election in Spain.
- **7 Oct – China-Europe trade imbalance:** China now exports roughly six containers of goods to Europe for every one it imports, with the imbalance having more than doubled over the past five years.
- **Industrial policy:** China's Made in China 2025 strategy has expanded the country's manufacturing capabilities beyond lower-cost consumer goods into sectors including industrial machinery, solar panels, aluminium, steel and higher-end vehicles.
- **Automotive pressure:** Despite EU tariffs on Chinese electric vehicles, Chinese manufacturers have increased hybrid exports to Europe. The pressure on European manufacturers is becoming increasingly visible, with Volkswagen announcing significant job cuts and planned plant closures in Germany.

Africa – Capital Markets & Investment

- **5 Oct – Dangote Refinery IPO:** The IPO reportedly attracted more than **$7m of subscriptions within its first hour**, signalling strong early investor interest. The offer was priced at **₦525 per share**, with a minimum subscription of 10 shares.
- **Kenyan participation:** The prospectus is reportedly expected to extend into the Kenyan capital markets, allowing eligible investors there to participate and potentially broadening the offering beyond Nigeria.
- **6 Oct – Tanzania investment ranking:** Tanzania ranked **10th among Africa's most investable markets in 2026** in Bloomberg's assessment of economic strength, fiscal strength, institutions and governance, infrastructure and external vulnerability.

  Mauritius ranked first, followed by South Africa, Egypt, Ghana, Botswana, Côte d'Ivoire, Morocco, Nigeria and Rwanda ahead of Tanzania.

- **7 Oct – African Credit Rating Agency:** African governments launched **AfCRA**, a new credit rating agency intended to challenge the dominance of the global big three agencies and address what African policymakers argue is an excessive “Africa premium” in sovereign credit assessments.

- **9 Oct – Airtel Money IPO:** Airtel Money launched its London IPO at a reported valuation of approximately **$7bn**.

  Initial trading: Shares were offered at **£1.96** but traded at approximately **£1.93** following the listing, representing a modest decline below the offer price.

China & Geopolitics

- **6 Oct – China expands overseas military presence:** China opened its first overseas air force base on the Asian continent in Laos, representing a further expansion of Beijing's military footprint abroad.

Draft Notes

Monday 5th October 2026

SNP 7773
FTSE 10497
US 10y 5.31%
Oil 100
Gold 4168
UK 10y 5.37%

Top Stories

- The UK is considering imposing tariffs on Chinese car imports to align with the EU and bolster its case for inclusion in the EUs act. The EU has imposed a 45% tariff on Chinese cars since October 2024 to support local automotive companies and see UK tariff alignment as a condition for partnership.
- The Dangote Refinery IPO reportedly drew more than $7m of subscriptions in the first hour. With a minimum commitment of 10 shares at N525, that means the IPO attracted at least N36.75bn (£21m) in the first hour. The prospectus is set to expand into the Kenyan capital markets allowing eligible investors to participate.

Tuesday 6th October 2026

SNP 7818
FTSE 10541
US 10y 5.27%
Oil 101
Gold 4196
UK 10y 5.33%

Top Stories:

- China opened first overseas air force base on the Asian continent in Laos

- The average five year fixed mortgage rate in the UK has reached 6%, the highest since September 2023. Prices have been spiked due to the turmoil in global bond markets pushed swap ratees feeding into fixed-rate pricing.
- Tanzania ranked 10th in the most investable African market in 2026 by Bloomberg who assessed economic strength, fiscal strength, institutions and governance, infrastructure and external vulnerability. Mauritius ranked first, following SA, Egypt Ghana, Botswana, Ivory Coast, Morocco, Nigeria, and Rwanda.
- Euro fell to its lowest against the dollar in 17 months amid concerns over French rising debt and added uncertainty from the snap election announced in Spain.
- Sainsburys held talks with Morrisons about a potential merger

Wednesday 7th October 2026

SNP 7818
FTSE 10494
US 10y 5.27%
Oil 101
Gold 4143
UK 10y 5.36%

Top Stories:

- China now sends six containers of goods to Europe for eery one they get back. This ratio has more than doubled in Chinas favour over the last five years as part of the "Made In China 2025" initiative set out by the government. China were previously known for supplying Europe with affordable consumer goods but weren't known for producing industrial machinery, luxury goods and high-end automobiles but this changed once China started producing solar panels, aluminium and steel. Despite tariffs imposed by the EU on electric vehicles, China pivoted to supplying hybrid vehicles to Europe, which are now the large share of exports to Europe. At a time where German legacy automotive company Volkswagen are announcing 100,000 job cuts and closure of four major plants in Germany, the industry is demanding a harder stance against China.
- African governments have a new credit rating agency, AfCRA, to tackle the global big three credit firms and aim to end "Africa premium" which has been imposed by the big three.

Thursday 8th October 2026

SNP 7801
FTSE 10421
US 10y 5.28%
Oil 104
Gold 4153
UK 10y 5.34%

Friday 9th October 2026

SNP 7816
FTSE 10552
US 10y 5.24%
Oil 103
Gold 4224
UK 10y 5.39%

Top Stories:

- Airtel Money launched their London IPO with a reported $7 billion valuation but they landed below the offer price. Initial price was £1.96 but traded at £1.93.